

Anurag Goel, Director of real estate developer Goel Ganga Developments, says Indian REITs have done well since launch. Embassy Office Parks REIT has recorded stable growth with consistent dividend distribution, Mindspace has shown strong occupancy rates with stable returns, and Brookfield has shown promise due to diversified portfolios. “These REITs have been through pretty rough times on their pandemic challenges but have survived and remained resilient, showing robust rental collections coupled with steady growth of net operating income.”

THE PROMISE OF THE FUTURE

For unitholders, the journey with REITs has been one

resident unitholders, the tax implications are as follows: Interest... [is] taxable at the applicable tax rates. Dividend income is exempt under Section 10 (23FD) [of the Income Tax Act].” She says capital gains distributed by the REITs are exempt from tax. However, capital gains arising from the sale of units by the unitholder are taxable at 12.5% if the units are held for more than 24 months. Otherwise, the tax rate is 20%, Dalal adds.

But tax considerations apart, the outlook is promising, especially since Sebi has been easing regulatory norms. The gradual return of employees to offices is set to sustain demand for high-quality space.

Fabiani of IndiaLand Group says the uptick in the commercial real estate market is expected to increase the office REIT market size by 6-6.5%. “In fact, India

currently boasts a REIT-ready commercial supply of ₹5.8-6.2 lakh crore across 7 key cities, with Bengaluru alone accounting for nearly 31% of the supply.”

Besides, the REIT market is still in a nascent stage. Abhishek Raj, Founder and CEO of real estate firm Jenika Ventures, says the diversification of the market is one of the most interesting aspects. “At the moment, commercial real estate, especially office space, is the main focus of REITs in India. Still, a wider range of REIT products will probably be introduced as the industry develops. REITs that concentrate on retail real estate, residential construction, and niche

markets like data centres, logistics hubs, and medical facilities may fall under this category,” he says. This will spread the risk across categories and make REITs more stable and durable.

On the regulatory side, Sebi and the Indian REITs Association (IRA) are launching a data benchmarking institution (DBI) to provide investors reliable data for informed decision-making. The DBI will serve as a central repository of data across asset classes and will help investors compare REITs across a range of metrics.

All in all, the REIT market may just now be reaching a tipping point. **BT**

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TRACKING PERFORMANCE

Listed REITs	IPO listing date	No. of unit holders	Market cap (in ₹ crore)	XIRR (%)*	Primary asset
Brookfield India Real Estate Trust	Feb '21	100,000	12,831	5.29	Office
Embassy Office Parks REIT	Apr '19	64,000	35,948	11.16	Office
Mindspace Business Parks REIT	Aug '20	45,000	20,280	10.6	Office
Nexus Select Trust	May '23	39,000	20,904	32.44	Malls

*XIRR SINCE LISTING; IT CALCULATES ANNUALISED RETURNS; DATA AS OF SEPTEMBER 4, 2024 **SOURCE** ICICI DIRECT

of patience and long-term vision. The initial hiccups caused by the pandemic tested the resolve of investors, but those who held on have started to see the benefits of a recovering real estate market. The number of unitholders across the four REITs stands at over 230,000, a testament to the growing popularity of the instrument.

That interest is not without reason. REITs offer many advantages, even in terms of taxation. For instance, the income is not taxed at the REIT level, unlike direct rental income. Dividend income is exempt in the hands of investors; interest income is liable to tax at applicable slab rates; and capital gains depend on the holding period.

Deepa Dalal, Partner at Deloitte India, says, “For